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Finding Report (CAR / CR / FAR)

Document No.	**MDSSPL-SBTi-R0003**	**Rev.**	1.0	**Issue Date**	05 NOV 2026	**Approved**	Director
Service	SBTi Sustainability Reporting Consultancy (Service code SBTi)					**Service Group**	Carbon and climate

Engagement details			
Client / Organization		**Engagement Ref.**	
Site(s) / Boundary		**Assessment Type**	☐ Initial ☐ Surveillance / Re-assessment ☐ Follow-up
Criteria / Standards	☐ SBTi Corporate Near-Term Criteria ☐ SBTi Corporate Net-Zero Standard ☐ GHG Protocol ☐ ISO 14064-1:2018 ☐ CDP / TCFD / IFRS S2 ☐ Other [ ]		
Base Year		**Target Year(s)**	
Target Type	☐ Near-term ☐ Long-term / net-zero ☐ FLAG		
Lead Assessment		**Date of Finding**	

Finding			
Finding No.		**Date Raised**	
Type of Finding	☐ CAR – Corrective Action Request ☐ CR – Clarification Request ☐ FAR – Forward Action Request		
Category	☐ Critical ☐ Major ☐ Minor ☐ Concern		
Nature of Finding	☐ Inventory gap ☐ Target criteria non-alignment ☐ Disclosure gap		
Scope	☐ Scope 1 ☐ Scope 2 ☐ Scope 3 ☐ FLAG	**Target / Criterion**	
Impact (tCO_2e)		**% of Base-year Emissions**	

Description of finding	
Detail of finding	
Objective evidence (documents, records, data sampled, site observations)	
Requirement (quote the applicable clause / requirement)	
Clause reference	*Select from the lists below; add other criteria in the last row.*
SBTi Target-setting	– Select –
SBTi Net-Zero	– Select –
ISO 14064-1:2018	– Select –
Other criteria / ref.	

Lead Assessor		**Auditee Representative**	
Date		**Date**	

Response by the client			
Root cause			
Correction (immediate)			
Corrective action			
Corrected target / inventory value			
Proposed completion date		**Submitted by / Date**	

Review and closure by MDSSPL			
Acceptance of root cause and correction	☐ Accepted ☐ Not accepted Comments:		
Verification of corrective action			
Finding status	☐ Open ☐ Closed ☐ Carried forward as FAR ☐ Affects target alignment conclusion		
Lead Assessor signature		**Date of closure**	

Annex A – SBTi Target-setting Requirement Areas

Only SBTi validates targets; check the criteria version in force.

Clause / Ref.	Title / Requirement
SBTi target-setting – requirement areas	
SBTi	Organizational boundary and base year
SBTi	Scope 1 and 2 coverage of targets
SBTi	Scope 3 screening and target coverage
SBTi	Near-term target ambition (1.5°C-aligned minimum rates)
SBTi	Long-term / net-zero target
SBTi	Use of renewable electricity and contractual instruments
SBTi	FLAG targets where applicable
SBTi	Recalculation and target review
SBTi	Annual disclosure of progress
SBTi	Use of carbon credits (not counted towards targets)

Annex B – SBTi Net-Zero Requirement Areas

Clause / Ref.	Title / Requirement
SBTi Corporate Net-Zero Standard – requirement areas	
SBTi	Boundary and coverage of Scope 1, 2 and 3 emissions
SBTi	Base year selection and recalculation
SBTi	Near-term science-based targets (5–10 years)
SBTi	Long-term science-based targets (by 2050 or sooner)
SBTi	Scope 3 target coverage
SBTi	FLAG targets (forest, land and agriculture)
SBTi	Neutralization of residual emissions (permanent removals)
SBTi	Beyond value chain mitigation (BVCM)
SBTi	Annual progress reporting and target revalidation
SBTi	Net-zero claim conditions

Annex C – ISO 14064-1:2018 Clause Reference

Clause	Title	Typical verification focus
Clause 4 – Principles		
4.2	Relevance	Sources, sinks, data and methods suit the needs of intended users
4.3	Completeness	All relevant emissions and removals within the boundary are included
4.4	Consistency	Methods, boundaries and data applied consistently to allow comparison
4.5	Accuracy	Bias and uncertainty reduced as far as practical
4.6	Transparency	Sufficient, appropriate information disclosed to support decisions
Clause 5 – GHG inventory boundaries		
5.1	Organizational boundaries	Consolidation approach (control / equity share) defined and applied to all facilities
5.2.1	Establishing reporting boundaries	Reporting boundaries defined and documented; changes explained
5.2.2	Direct GHG emissions and removals	All direct (Category 1) emissions and removals quantified separately
5.2.3	Indirect GHG emissions	Process to identify and evaluate significant indirect emissions
5.2.4	GHG inventory categories	Emissions aggregated into Categories 1–6; significance criteria and exclusions justified
Clause 6 – Quantification of GHG emissions and removals		
6.1	Identification of GHG sources and sinks	Source/sink list complete and linked to categories
6.2.1	Selection of quantification approach – General	Approach minimises uncertainty and gives accurate, consistent results
6.2.2	Data selection and collection used for quantification	Activity data, measurement, meters, invoices and data gaps
6.2.3	Selection or development of GHG quantification model	Emission factors, GWP values and calculation models are appropriate and referenced
6.3	Calculation of GHG emissions and removals	Calculations correct, converted to tCO_2e using appropriate GWPs
6.4.1	Selection and establishment of base year	Base year chosen, justified and quantified
6.4.2	Review of base-year GHG inventory	Recalculation policy and triggers (structural / methodology changes)
Clause 7 – Mitigation activities		
7.1	GHG emission reduction and removal enhancement initiatives	Initiatives documented and reported separately where quantified
7.2	GHG emission reduction or removal enhancement projects	Purchased/developed project units reported separately from the inventory
7.3	GHG emission reduction or removal enhancement targets	Targets, base year and progress reported where applicable
Clause 8 – GHG inventory quality management		
8.1	GHG information management	Procedures, data controls, internal checks, roles and competence
8.2	Document retention and record keeping	Records retained and retrievable for verification
8.3	Assessing uncertainty	Uncertainty of quantification approaches and data assessed
Clause 9 – GHG reporting		
9.1	General	GHG report prepared where public claims or verification are intended
9.2	Planning the GHG report	Purpose, intended users, frequency and structure defined

Clause	Title	Typical verification focus
9.3.1	GHG report content – Required information	All mandatory report elements included (e.g. boundaries, categories, base year, methods, exclusions)
9.3.2	Recommended information	Recommended disclosures considered
9.3.3	Optional information and associated requirements	Optional disclosures meet stated requirements
Clause 10 – Organization's role in verification activities		
10	Organization's role in verification activities	Access to data, records, sites and personnel; correction of findings
Annexes		
Annex B	Categorization of direct and indirect GHG emissions	Correct allocation of sources to Categories 1–6
Annex D	Treatment of biogenic GHG emissions and CO_2 removals (normative)	Biogenic CO_2 reported separately
Annex E	Treatment of electricity (normative)	Location-/market-based treatment, contractual instruments
Annex F	GHG inventory report structure and organization	Report layout and completeness

Annex D – Finding Types and Categories

Term	Meaning
CAR	Corrective Action Request: a misstatement or non-conformity that must be corrected and closed before a positive conclusion, opinion, certificate or claim can be issued.
CR	Clarification Request: information is insufficient or unclear to decide whether a requirement is met; the client must provide clarification or evidence.
FAR	Forward Action Request: an issue to be addressed and checked in the next period; it does not prevent the current conclusion.
Inventory gap	Base-year inventory is incomplete or not supported.
Target criteria non-alignment	Boundary, coverage, timeframe or ambition does not meet SBTi criteria.
Disclosure gap	Progress or target disclosure is incomplete.
Critical	Finding that alone makes the reported information materially wrong or prevents a conclusion; immediate correction required.
Major	Systematic or significant failure that could lead to a material error or invalid claim if not corrected.
Minor	Isolated lapse not likely to cause a material error or invalid claim on its own.
Concern	Observation or opportunity for improvement; no action is mandatory.

Severity categories are suggested definitions aligned with MDSSPL procedures. Clause titles are summarized for reference; refer to the licensed standards and current regulatory texts for full requirements.